The examples above reinforce the poor outcomes from demonetization, especially when undertaken with an objective to eliminate corruption and black money. This may raise the question whether demonetizations are ever successful. And the answer is, yes!

Demonetizations have been used most successfully to tackle hyperinflation,[20] and when the value of the original currency has been so debased that it becomes worthless as a medium of exchange.

Though the causes and triggers for hyperinflation are complex, economists believe that it is either caused by a lack of confidence – that the government or the central bank will remain solvent, or by a spiralling downward cycle of monetary expansion. In both cases, it is initially caused by large government deficits financed by reckless money creation. As people realize that their banknotes are able to purchase fewer and fewer 'real goods', there is a frenzy to spend them before there is a further loss of purchasing power, which further accentuates the downward spiral of loss of value.

Such hyperinflationary episodes are often dealt with by a demonetization, redenomination or revaluation of currency, and by pegging the paper value of the new currency to a stable unit of value, e.g., gold or, in more recent times, the US dollar. However, faith in the new replacement currency rarely lasts, unless accompanied by strong fiscal and monetary discipline, and often a change in rulers or regime as well.

The following are some of the more famous instances of hyperinflation dealt with successfully by demonetization.

Roman Empire in the Third Century[21]

As the Roman Empire extended its geographical reach, successive emperors sought to finance their military expenditures, initially by a series of increasingly unjust taxes, and, when this was no longer sufficient, by 'debasing' the currency.